Commercial Building Due Diligence Memo

1993 building in Madison, MS | Purchase price: $2.65 million | Prepared from conversation notes

Executive Summary

For this acquisition, the goal should be to avoid hidden six-figure problems - not to commission a full design-level engineering study on day one. The right approach is a limited structural due diligence walkthrough with a short written memo, paired with separate roof, HVAC, electrical, plumbing, environmental, code/ADA, lease/financial, insurance, title, and survey review.

The engineer's response is reasonable. Their rate sheet shows hourly professional rates ranging from $80/hour for an engineering technician up to $200/hour for a principal, plus mileage and reimbursable expenses. The practical question is whether you want a low-cost verbal walkthrough or a written record you can use to negotiate, document risk, or terminate during due diligence if needed.

Recommended Scope for the Engineer

Authorize a limited structural due diligence walkthrough plus a short written summary. This gives you more protection than a casual walkthrough but avoids paying for a comprehensive report unless they find something concerning.

Suggested framing:

> *We are not asking you to certify the entire building or open walls. We are trying to identify visible structural red flags, signs of settlement or movement, water intrusion, foundation issues, roof/framing concerns, and anything that would warrant further investigation before our due diligence deadline.*

What the Structural Engineer Should Look For

Foundation and settlement

- Cracks in slab, walls, brick, CMU, stucco, or drywall
- Doors or windows out of square
- Uneven floors
- Separation at wall/ceiling joints
- Evidence of prior patching
- Poor drainage around the building
- Soil movement or settlement indicators

Roof structure, not just roof membrane

- Roof framing deflection
- Ponding water
- Sagging roof structure
- Rusted or degraded metal components
- Water damage at roof deck/framing
- Prior leak patterns
- Load concerns if HVAC units are roof-mounted

Water intrusion

- Ceiling or wall staining
- Musty smells
- Efflorescence on masonry
- Mold-like staining
- Rot or deterioration
- Failed flashing
- Poor exterior drainage
- Evidence of chronic roof or wall leaks

Exterior envelope

- Brick cracks
- Control joints
- Lintels above windows and doors
- EIFS/stucco issues if applicable
- Window leaks
- Sealant failures
- Wall movement or bowing

Ask the engineer to classify findings this way:

- Normal for a 1993 building
- Needs monitoring but does not appear alarming
- Needs further investigation before closing
- Potentially material or urgent structural concern

Additional Due Diligence You Should Pair With It

Area	Who should review	Goal
Structural	Structural engineer	Identify settlement, movement, framing, foundation, and water-damage red flags
Roof	Commercial roofer	Determine age, leaks, remaining life, and replacement cost
HVAC	Commercial HVAC contractor	Age and condition of units; replacement exposure
Electrical	Electrician	Capacity, code issues, panels, and tenant needs
Plumbing / sewer	Plumber	Leaks, water heaters, sewer issues, and major repair risk
Environmental	Phase I ESA provider	Lender/investor protection and contamination risk
Zoning / code / ADA	City, architect, or code consultant	Confirm current/future use and required upgrade risk
Leases / financials	Buyer, CPA, attorney	Verify income, expenses, tenant obligations, and renewal risk
Insurance	Insurance agent	Confirm insurability and annual premium
Survey / title	Attorney / title company	Easements, access, encroachments, parking, and legal description

Documents and Information to Request From Seller/Owner

Building documents

- Original plans / as-builts
- Renovation plans
- Site plan
- Survey
- Floor plans
- Roof plans/specs if available
- Certificate of occupancy
- Permits for major work
- ADA or code compliance reports, if any

Maintenance and repair history

- Roof replacement/repair records
- HVAC service records
- Plumbing repair history
- Electrical upgrades
- Foundation or structural repairs
- Water intrusion/leak history
- Insurance claims
- Pest/termite treatment history

Financial and lease documents

- Current rent roll
- Copies of all leases and lease abstracts
- Security deposits
- CAM reimbursements, if any
- Tenant payment history and delinquencies
- Expiration dates and options
- Who pays taxes, insurance, maintenance, and utilities
- Last 3 years of P&Ls
- Utility bills, property tax bills, and insurance premium

Property-level risk items

- Known defects
- Tenant disputes
- Pending code violations
- Zoning issues

• Easements/access issues

• Drainage or flooding history

• Upcoming required capital improvements

Hyper-Concerning Red Flags

• Significant foundation movement or stair-step masonry cracks

• Roof near end of life with active leaks

• Multiple old HVAC units needing replacement soon

• Drainage problems causing water against the building

• Mold or chronic water intrusion history

• Electrical service inadequate for current or intended future use

• Tenant leases materially weaker than represented

• Rents below expectations or not actually collectible

• Tenants with easy termination rights

• Environmental concerns from prior or neighboring property uses

• Major ADA/code upgrades required if renovating or changing use

• Insurance unavailable or materially more expensive than expected

• Survey/access/parking problems

• Seller evasiveness around repairs, leaks, leases, or financials

Suggested Email Response to Engineer

Thanks - that makes sense.

At this stage, we are mainly trying to avoid any major surprises before the end of our due diligence period. We are not expecting you to certify concealed conditions or perform destructive testing, but we would like a structural due diligence walk-through focused on visible red flags.

Specifically, we would like you to look for signs of structural movement, settlement, foundation issues, cracking, roof/framing concerns, water intrusion, exterior envelope issues, or anything else that would warrant further investigation before closing.

I think the most helpful scope would be:

1. A walk-through of the building with us/Tyler;
2. Verbal comments during the walk-through as you see items of concern; and
3. A short written summary afterward identifying any visible concerns, recommended follow-up, and whether anything observed appears potentially material or urgent.

We understand the limitations since much of the structure is concealed, and we understand this would be billed hourly based on your rate sheet.

Before we schedule, could you give us a rough expected range of hours/cost for that limited walk-through and short summary?

Thanks.

Bottom Line

The structural engineer should answer one central question: Is there anything visibly wrong with the bones of this building that could become a major problem? For your purpose - avoiding surprises - the short written memo is worth it because it creates a record, supports negotiation, and gives you a cleaner basis to request repairs, credits, more investigation, or cancellation during due diligence.

Note: This memo is for practical due diligence planning and is not legal, engineering, environmental, tax, or financial advice. Confirm final scope with the appropriate licensed professionals.